

The Personal Element. The personal element enters to a greater or lesser extent into every security purchase. The aspect of chief importance is usually the financial position of the intending buyer. What might be an attractive speculation for a business man should under no circumstances be attempted by a trustee or a widow with limited income. Again, United States Liberty 3¹/₂s should not have been purchased by those to whom their complete tax-exemption feature was of no benefit, when a considerably higher yield could be obtained from partially taxable governmental issues.¹

Other personal characteristics that on occasion might properly influence the individual's choice of securities are his financial training and competence, his temperament, and his preferences. But however vital these considerations may prove at times, they are not ordinarily determining factors in analysis. Most of the conclusions derived from analysis can be stated in impersonal terms, as applicable to investors or speculators as a class.

The Time. The time at which an issue is analyzed may affect the conclusion in various ways. The company's showing may be better, or its outlook may seem better, at one time than another, and these changing circumstances are bound to exert a varying influence on the analyst's viewpoint toward the issue. Furthermore, securities are selected by the application of standards of quality and yield, and both of these—particularly the latter—will vary with financial conditions in general. A railroad bond of highest grade yielding 5% seemed attractive in June 1931 because the average return on this type of bond was 4.32%. But the same offering made six months later would have been quite unattractive, for in the meantime bond prices had fallen severely and the yield on this group had increased to 5.86%. Finally, nearly all security commitments are influenced to some extent by the current view of the financial and business outlook. In speculative operations these considerations are of controlling importance; and while conservative investment is ordinarily supposed to disregard these elements, in times of stress and uncertainty they may not be ignored.

Security analysis, as a study, must necessarily concern itself as much as possible with principles and methods which are valid at all times—or, at least, under all ordinary conditions. It should be kept in mind,

¹ In 1927 the yield on these 3¹/₂s was 3.39%, while U. S. Liberty 4¹/₄s, due about the same time, were yielding 4.08%.